Now, let's take an example to understand the ratio better.

Mr. X has the following ongoing debts & assets.

Liabilities	Amount	Assets	Amount
Home Loan	₹ 30,00,000	Properties	₹ 1,00,00,000
Car Loan	₹ 10,00,000	Car	₹ 12,00,000
Credit Card Debt	₹ 1,00,000	Investment in PPF	₹ 2,00,000
		Investment in Mutual Funds	₹ 2,50,000
		Cash & Bank Balance	₹ 75,000
Total Debt	**₹ 41,00,000**	**Total Assets**	**₹ 1,17,25,000**

So, his Total Debt comes out to ₹41 Lakhs & his Total Assets are ₹1.17 Crores.

Mr. X's Networth = ₹ 76.25 Lakhs (₹ 1.17 Crore - ₹ 41 Lakhs)

So, his Net Debt Position is 53.77% which shows he has a moderate Net Debt Position.

But do note that this is just a guideline & can vary a lot according to various factors.

For example, younger individuals usually have a lower net worth as they are still building their assets but that doesn't indicate that they can not take loans. In fact, younger people can often tolerate higher debt due to their longer earning potential.

So, consider your age, income, risk tolerance & financial goals when evaluating your ratio.